you saved or invested money. There are several avenues to claim tax deductions (*See: Deductions You Lose in the New Regime*) under the old regime. This allowed salary to be structured in a manner to optimise tax outgo.

The old regime inculcated a habit of thrift by encouraging taxpayers to save and invest in tax-free financial instruments. The universe of tax savings options under Section 80C alone, with its Rs 1.5 lakh limit in a financial year, provided a wide variety. One could insure one's life and claim deductions under Section 80C or one could claim deductions on the interest component of their housing loan under the section. There are also several savings and investment instruments such as PPF, ELSS, bank FDs, NPS contributions and expenses on children's tuition fees among others that are allowed to claim deductions.

In fact, for many taxpayers, tax savings were the only form of any financial savings and investments. Scores of Indians have taken advantage of home loans to realise their financial goal of owning their house because of the tax savings allowed on repayment of the loan. There are no such incentives to save and invest under the new regime. Although under the new regime, one has the flexibility to invest their money in any mode, without any incentive, chances are more for people to spend money than invest or save.

For a taxpayer who has been under the old tax regime for over a decade, it would not be an easy shift to the new regime owing to the old system being well-ingrained in their financial lives. As regular taxpayers often try to maximise the tax saving options under the popular Section 80C with Rs 1.5 lakh limit in a financial year. When a taxpayer with a gross income of Rs 8 lakh invests Rs 1 lakh of his income in any of the tax saving instruments that qualify for Section 80C benefit, the total taxable income reduces to Rs 7 lakh in that financial year. This works out in case assuming the taxpayer invests Rs 30,000 in ELSS, has a PF contribution of Rs 50,000 and uses Rs 20,000 towards life insurance premiums adding up to Rs 1 lakh. This Rs 1 lakh is within the Rs 1.5 lakh upper limit to claim tax savings under Section 80C.

Likewise, many benefits provided by employers were treated as tax exemptions as it was expenses on account of being employed (*See: Exemptions under Old Tax Regime*). Think of tax exemptions as avenues that reduce your taxable income and are offered to encourage certain economic activities. Company-leased car encourages car ownership just as claiming LTA encourages one to spend on travel. The HRA (house rent allowance) is an essential component of one's salary and it is not fully tax-



Budget 2023 has thrown a surprise at senior citizens by doing away with a concessional tax rate for them. This, however, doesn't change things for the worse for them, but they need to rethink and plan their income with the new development. In the revised new tax regime, there is no special demarcation for taxpayers as senior citizens (aged 60 years and above) and super senior citizens (aged 80 years and above). The tax slabs are the same for all taxpayers irrespective of their age or gender.

DEDUCTIONS YOU LOSE IN THE NEW REGIME

- ✔ House Rent Allowance (HRA)
- ✔ Leave Travel Allowance (LTA)
- ✔ Entertainment Allowance
- ✔ Interest paid on Housing Loan under Section 24*
- ✔ Deductions under Section 80C (life insurance premium, home loan principal, PPF etc)
- ✔ Deductions under Section 80D (premium towards health insurance)
- ✔ Deductions under Sections 80DD and 80DDB (related to Disability)
- ✔ Interest paid on education loan u/s 80EE
- ✔ Donations u/s 80G, 80GGA, 80GGC
- ✔ Professional Tax (PT)

*You can claim the tax deduction only on property that is let out